

## **Draghi Laments Pace of Change in EU as It Lags Global Rivals**

The European Union is moving too slowly in its efforts to boost economic competitiveness, with the region “failing to match the speed” of a changing global order, former European Central Bank President Mario Draghi said.

A year after [presenting a report](#) mapping out how the 27-member bloc can leverage its economic strength into greater competitiveness and prosperity, Draghi said Europeans are “disappointed” by the pace of change in a fragmented region. Citizens see that the EU is failing to keep up with global rivals, he said.

“Too often, excuses are made for this slowness,” Draghi told reporters in Brussels Tuesday at an event marking the anniversary of the report. “A different path demands new speed, scale and intensity,” he said, calling on the EU countries to act together.

Draghi, who also served a stint as Italy’s prime minister, proposed a detailed plan to strengthen the EU’s global position amid the disintegration in transatlantic ties, China’s emergence as a superpower and Russia’s war on Ukraine.

The economist recalled many of his proposals on energy and technology, warning against burdensome regulations in areas such as artificial intelligence, while defending calls in some member states for embracing common debt.

“Joint issuance would not magically expand fiscal space,” he said. “But it would allow Europe to finance larger projects in areas that lift productivity — breakthrough innovation, scale technologies, defense R&D or energy grids — where fragmented national spending can no longer deliver.”

A year ago, Draghi made an urgent call to adopt a set of recommendations and bring the bloc out of its “slow agony,” hampered by internal barriers in the energy and telecommunication markets, financial services or defense production.

In order to catch up with the US and China, the EU’s largest trading partners and economic rivals, he said Europe needed an additional €800 billion (\$945 billion) of investments annually.

### **Fast-Tracking**

Draghi also called for a new approach to coordinate state aid in the EU.

“In practice, state aid often acts as protectionism – locking activity within borders instead of building European industries that are globally competitive,” he said, adding that Europe should be able to bolster competition while still promoting innovation and consolidation.

Draghi called for a “fast-track” process for reviewing competition rules. European Commission president Ursula von der Leyen, who spoke at the briefing, said that the commission will advance the publication of the merger guidelines, initially expected by 2027.

Roadblocks within the EU’s single market are equivalent to a 45% tariff on goods and a 110% tariff on services, von der Leyen said, citing the [International Monetary Fund](#).

As the commission grapples with US President Donald Trump’s shifts on security cooperation and trade relations, Draghi said decision makers should embrace “ambitious” deadlines and concrete results. Critics have accused von der Leyen’s commission of delivering few legislative proposals even as it backs the report’s overall vision of change.

“We must move beyond broad strategies and backloaded time lines,” Draghi said in comments that followed von der Leyen.

According to a [study](#) put forward by think tank EPIC only around 11% of the 383 recommendations, or 43 measures, put forward by the Draghi report have been fully delivered, while about 20% have been partially implemented.

Deutsche Bank assessed in a [report](#) that progress has been mixed, with more momentum in scaling up the defense industry given the sense of urgency in European capitals from the war in Ukraine and a softening commitment to the region’s security from the US.